

Unlocking the AI paradox?

Can we have privacy in ChatGPT and in other Generative AI systems, asks **Juliette Faivre** of Cambridge University.

After its launch on 30 November 2022, OpenAI's conversational chatbot ChatGPT reached one million users in a record period of only five days.¹ Since last year, new applications using the same "Generative Artificial Intelligence" (G-AI) technology have emerged. These allow users to create a variety of new content such as fictional or realistic images (e.g. an artist won a fine arts competition with an AI-generated image), write essays or academic papers (e.g. GPT-3 wrote an academic paper on itself), generate audios or even podcasts (e.g. commentator Joe Rogan interviewed Steve Jobs on Podcast.ai) among many other uses.

EMERGING CHALLENGES

While the technology undoubtedly offers immense potential for the future, leaks of users' sensitive information – as seen in OpenAI's data breach in March – have urged regulators to intervene, to protect users' privacy.² As previously discussed in *PL&B International Report* June 2023, p.1, Italy's Data Protection Authority the *Garante* imposed a temporary ban on ChatGPT in Italy due to data protection concerns. The ban was subsequently lifted following OpenAI's initiative to cooperate by introducing new privacy-enhancing measures such as the "opt-out" feature for OpenAI's data collection. Despite the new safeguards, ChatGPT and other G-AI applications may still pose major data protection risks for the future. More recently, on 28 June 2023, OpenAI and Microsoft were sued for \$3 billion in a class action lawsuit, over alleged ChatGPT violations.³

Therefore, it is worth discussing whether G-AI can ever be privacy-compliant in the first place. To do so, one needs to understand how the technology works.

G-AI PRIVACY IMPLICATIONS

1 – Online scraping: Developers of G-AI build and train their models using large volumes of public data scraped

from the Internet. Hence personally identifiable information (PII) – in textual, visual or audio formats – such as names, headshots, contact details, conversations, medical records and even financial data, may be fed into the training sets and reused in the models' outputs.⁴ For instance, it has been revealed that Stable Diffusion, a text-to-image model developed by G-AI pioneer company Stability AI, was generating scarily similar images to its input data.⁵ To build its model, Stability AI used LAION-5B, a publicly available dataset that had scraped 5 billion images from the Internet. Following allegations against LAION, a start-up called Spawning AI released the free platform "Have I Been Trained" that allows users to search for potential PII that may be used in the LAION dataset and offers the possibility to opt out from it. After using it, many people reported on Twitter that LAION datasets contained highly sensitive information (e.g. AI Artist Lapine discovered her medical portraits).⁶

While publicly available online information can be freely used by companies under certain circumstances and jurisdictions in the United States, Europe requires an explicit consent to collect, store or process individuals' private or public information as per the GDPR rules. Permission to use the data can also be legally justified if the company has a lawful basis to ensure its practices are for "legitimate interests" – an argument that OpenAI and other G-AI providers use, which is nonetheless "very hard to do" according to Law professor Lilian Edwards in an interview with WIRED.⁷ Moreover, the UK GDPR guidance⁸ adds that "if (a company) can reasonably achieve the same result in another less intrusive way, legitimate interests will not apply". This argument could challenge OpenAI's use of the "legitimate interest" provision, as it could be argued that measures for receiving direct user consent on the platform could have been introduced instead. Finally, it is important to highlight that privately

held information could be leaked at any time and become public thereafter, further blurring the lines of which content is allowed for usage in G-AI training.

Sometimes sensitive data such as an image is leaked into the public, for example, by hackers. Companies do not know whether they can use it or not, since they are not able trace back the origin and "ownership" [public/private] of that image. Therefore, they might think it is "publicly available" in the sense that it is available on the Internet but it should not be available on a sound legal basis. This is what happened with the LAION-5B training dataset that collected data from public sources. It turned out that these sources had "sensitive" content that should not have been there.

2 – User Interactions: Beyond initial training, user interactions also serve as ongoing training for the model once it has been publicly released. Until the *Garante's* intervention, exchanges between users and the AI model were used by OpenAI to improve the company's models, without explicit user consent. Moreover, despite the provisions that have been introduced, critics argue that at a technical level, sensitive information that users share when conversing with an AI model may not be entirely 'forgotten' and could be inadvertently reused in other user interactions, potentially posing a threat for individuals' privacy. In fact, users may prompt ChatGPT to "correct an e-mail" that contains sensitive information, an act that will be recalled by the model. Many corporations such as Samsung and Apple have joined a growing list of businesses banning the use of G-AI services like ChatGPT, to protect confidentiality.⁹

ENHANCING PRIVACY IN THE LONG RUN?

Privacy activists such as author Luiza Jarovsky¹⁰ have denounced the "privacy by pressure" approach of some companies like OpenAI, who "only act when something goes wrong, when there is public backlash or when legally

told to do so” and introduce features such as the ‘opt-in’. This perspective may be partially challenged, as it is important to note that most industry players in the G-AI space conduct research on privacy-enhancing solutions. Regardless, implementing privacy safeguards remains a priority for users’ safety. While G-AI development relies heavily on training data, solutions that address privacy issues should be a research priority, whether applied to online scraping or to user interactions.

At a developer level, the need for new ways to manage the data quality of training sets was raised by the scientific community. For example, researchers have shown that anonymization – by blurring human faces on images fed in

training datasets – would minimally impact AI models’ accuracy while better preserving privacy, as blurred images sufficed for AI models to perform object recognition training.¹¹ Another privacy-enhancing method consists of using synthetic data, in other words artificially generated data produced by an algorithm replicating the statistical properties of “real data”.¹² In fact, synthetic data allows organisations to adhere to data protection laws such as the GDPR or the HIPAA since it does not contain Personally Identifiable Information.¹³

Moreover, at a service level, companies need to implement mechanisms that reduce data protection risks. Transparency in data practices and

educational materials can help customers understand how their data can be used. Regulators should also push towards this privacy-enhancing direction as well, by not only introducing restrictions but also proposing tools and research options to best preserve and coordinate the interests of both organisations and their users.

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How consistently is the EU GDPR being enforced?

The European Union's data rules have built-in consistency mechanisms. After five years of operation, how well are they working and what does the future hold? **Tom Cooper** reports.

The uniform application of the EU's General Data Protection Regulation (GDPR) across the bloc's 27 Member States, each with a different history, legal system and attitude to data protection, was always going to be a challenge. Nevertheless,

that is the European Data Protection Board's (EDPB's) remit under EU law.

In May, the board elected Finland's Data Protection Commissioner, *Anu Talus*, as its new chair¹.

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Texas enacts comprehensive privacy law

Jorge Ortiz, Nicholas Shepherd, and Lindsey Tonsager of Covington & Burling analyse the law which enters into force in July 2024.

On 18 June 2023, the Governor of Texas signed into law the Texas Data Privacy and Security Act (TDPSA), making it the 12th state overall in the United States, and seventh in 2023 alone, to enact a comprehensive privacy law.¹

With approximately 30 million inhabitants, Texas is the second-most populous state (behind only California) to pass a privacy law of this scope and magnitude. The TDPSA

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“comment”

Future prospects for the EU-US privacy framework

Organisations have been pleased to see the adoption of the new EU-US Privacy Framework in July (p.7). It is almost certain that a legal challenge will arise – nevertheless companies now have some breathing space provided that companies sign up to the pact enthusiastically and implement their commitments in the US.

The next step is the EU Commission's long-awaited review of the existing adequacy decisions. Argentina, which is one of the beneficiaries, is now modernising its law to meet the higher GDPR-level of adequacy (p.17). The bill is based on the EU GDPR and the Council of Europe Convention 108+.

On the back of the EU-US decision, we can expect a UK decision soon, as well as Switzerland taking similar measures. But what about adequacy at US state level? The trend of adopting state level consumer privacy laws continues with Texas (p.1) and Oregon (p.6). There have already been speculations about California being a likely candidate for adequacy as it has a stronger law than the other states. Also possible are sectoral arrangements which would benefit the areas currently not covered by the Privacy Framework, such as financial services.

The Cambridge Analytica saga continues, as witnessed by our expert panel at *PL&B's* summer conference (p.14). In Australia, the Privacy Commissioner and Meta have now been ordered by the federal court to engage in mediation. This is to end the costly legal proceedings over the scandal which started five years ago.

Some worrying developments can be seen in the adoption of generative AI (p.28). The EU is not just paying attention but is at the forefront with its AI Act, and evaluating the impact of AI in the metaverse from many viewpoints (p.6). On the positive side, SupTech which includes AI elements can help DPAs with their workload (p.18).

Laura Linkomies, Editor

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Michael McEvoy, Information and Privacy Commissioner for British Columbia, Canada

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